

Risk aversion



Suppose I offer to give you £1,000 if a coin toss comes up heads, but nothing if it comes up tails. Because both heads and tails outcomes occur with a probability of one in two, we can say that the expected value of the coin toss is £500. Knowing this, suppose that I now give you a choice between taking the gamble or receiving £490 immediately?

According to economics, if you take the £490 you are said to be risk averse: you are willing to accept a lower pay-off in order to avoid a risky gamble in which you may end up with nothing. This is because the pain of a loss exceeds the pleasure of a gain: you would probably refuse to play a game in which I paid you £100 if a coin came up heads, but you paid me £100 if it came up tails. Risk aversion explains the existence of insurance markets: risk-averse individuals pay a premium to an insurer each year to avoid the possibility of facing a larger loss.